Ethylene (Asia)

By Josh Quah, Chris Qi, Amy Yu, Doris He & Catherine Tan

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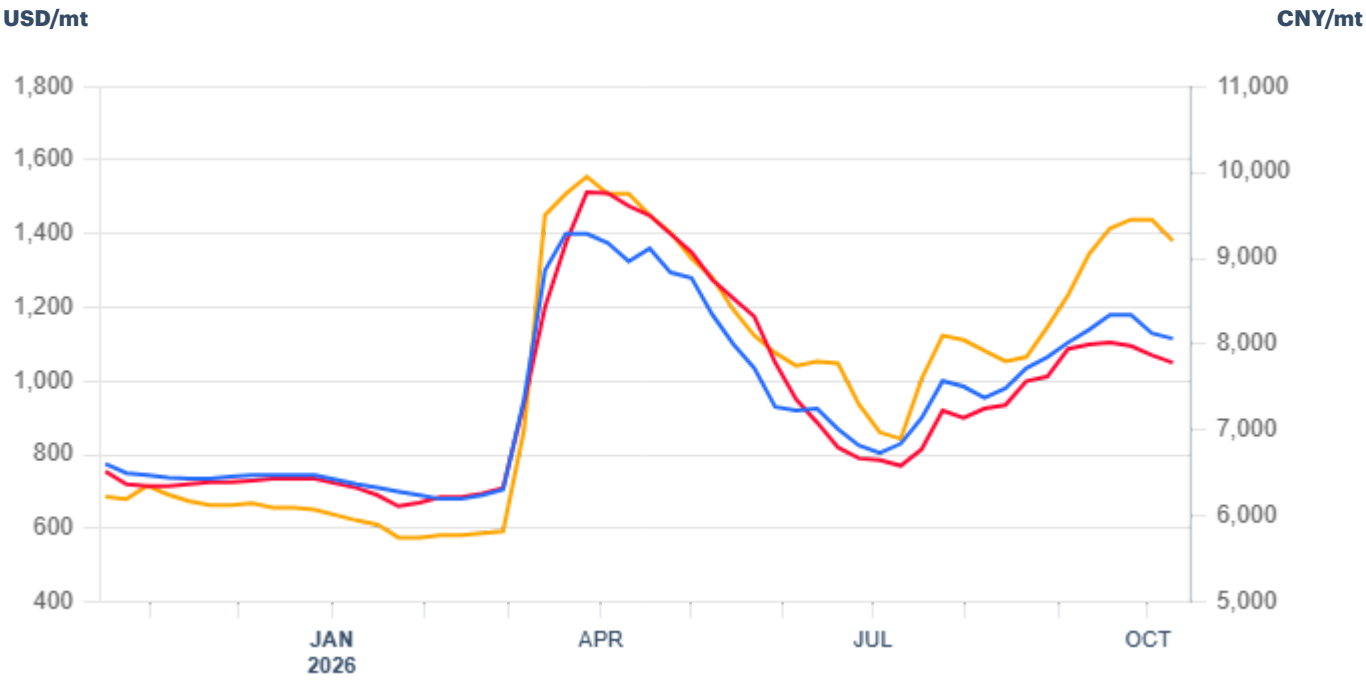
Market overview

AS OF 9 OCT 2026

Highlights

- Price downside cushioned by upstream volatility
- Southeast Asia cargoes seek northeast Asia demand outlets
- Deep-sea arbitrage window narrows on Europe rebound

Ethylene



Left axis

- Ethylene CFR Asia NE Spot
- Ethylene CFR Asia SE Spot

Right axis

- Ethylene Ex-Tank China E Spot

Market commentary

With a shorter trading week due to the Chinese and South Korea public holidays, traders tussled to sell regional and deep-sea cargoes amid fewer demand outlets.

End users in Taiwan largely remained on the sidelines this week, opting to wait for the Chinese market to return in order to get a better view of the offers available for November and December arrivals.

For traders, selling interest concentrated on deep-sea cargoes for early December arrival, with major exporter South Korea going into planned turnarounds later this month (LG Chem at Yeosu and KPIC at Ulsan).

Transcontinental gas carrier freight rates were heard to be under downward pressure, offsetting the higher domestic US prices, with December arrival offers for deep-sea origin cargoes to Asia slightly lower relative to previous weeks.

However, the window on this arbitrage opportunity may be narrowing, with Europe end users heard to be mulling competitive spot imports following a rebound in Europe contract prices for October.

Offers in Europe have hiked as producers struggle to digest firming feedstock and energy costs.

Traders working the southeast to northeast Asia trade routes have also stepped up selling interest in southeast Asia cargoes, with supply in this region gradually recovering despite intermittent refinery issues heard in Malaysia.

With demand enquiries for Thailand and Indonesia expected to wind down for most of the month, sellers are understandably turning to outlets out of the region, with northeast Asia having been the most willing recipient so far for the recent round of October southeast Asia exports.

South Asia has also been a traditional recipient of southeast Asia volumes, though intermittent spot volumes made available from India in October have quietened demand inquiries from south Asia end users.

Outlook

- Southeast Asia demand may arise for November/December
- Contract talks for 2027 soon to begin
- South Korea turnaround schedule on track

Forecast

AS OF 13 OCT 2026

Highlights

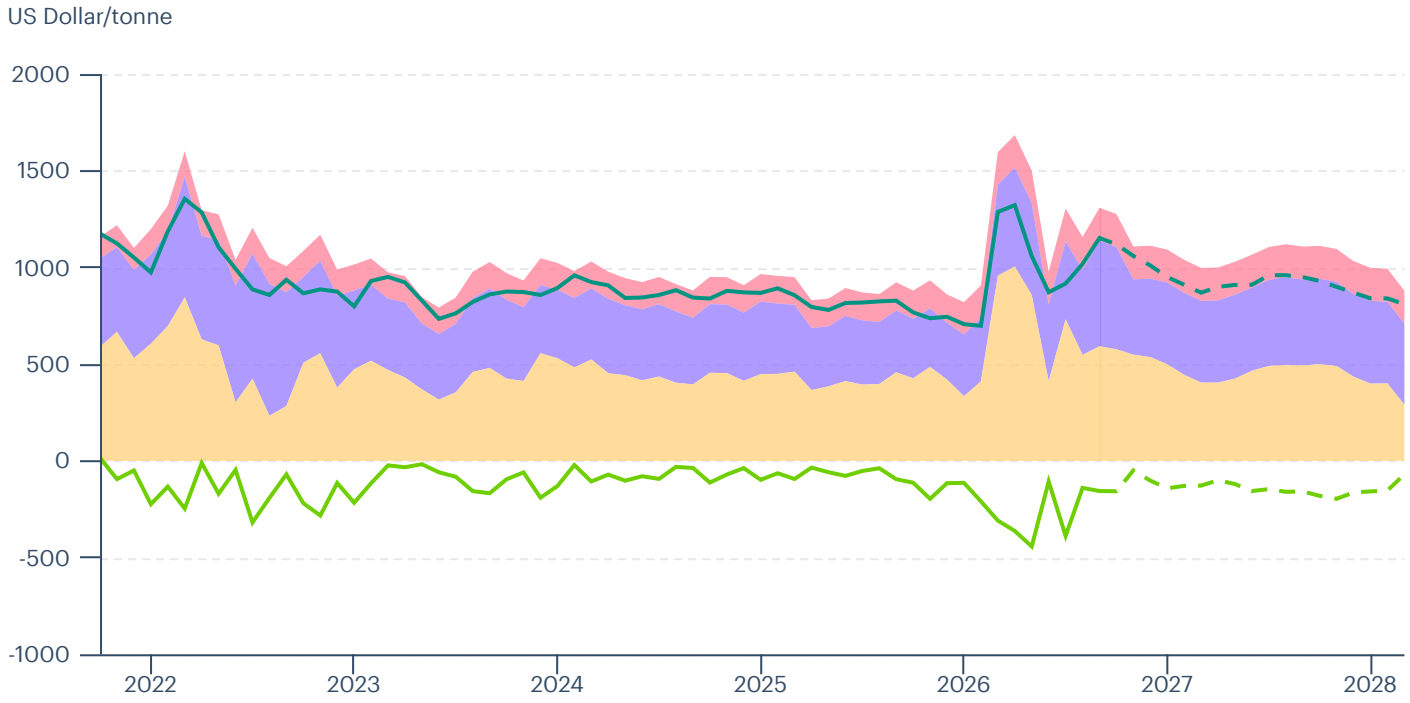
- Asian ethylene prices should weaken through Q1 2027 as weak PVC demand, lower feedstock costs and new Chinese capacity outweigh turnaround-related supply tightness.
- Prices should recover from April as turnarounds and South Korean capacity cuts tighten supply, with feedstock costs adding support in July–August.
- The northeast Asia–southeast Asia spread should widen in 2027 as South Korean closures tighten supply in northeast Asia.

Fundamentals

NEA - cash cost aggregated

OCT 2026	NOV 2026	DEC 2026	JAN 2027	FEB 2027
1,120	1,060 ▼	1,010 ▼	950 ▼	910 ▼
	-60 (-5.4%)	-50 (-4.7%)	-60 (-5.9%)	-40 (-4.2%)

Ethylene CFR Asia NE Spot 2-8 Weeks USD/mt Week. Deltas show intra-month changes



Fixed costs

Utility costs

Raw material costs

Ethylene CFR NE Asia weekly

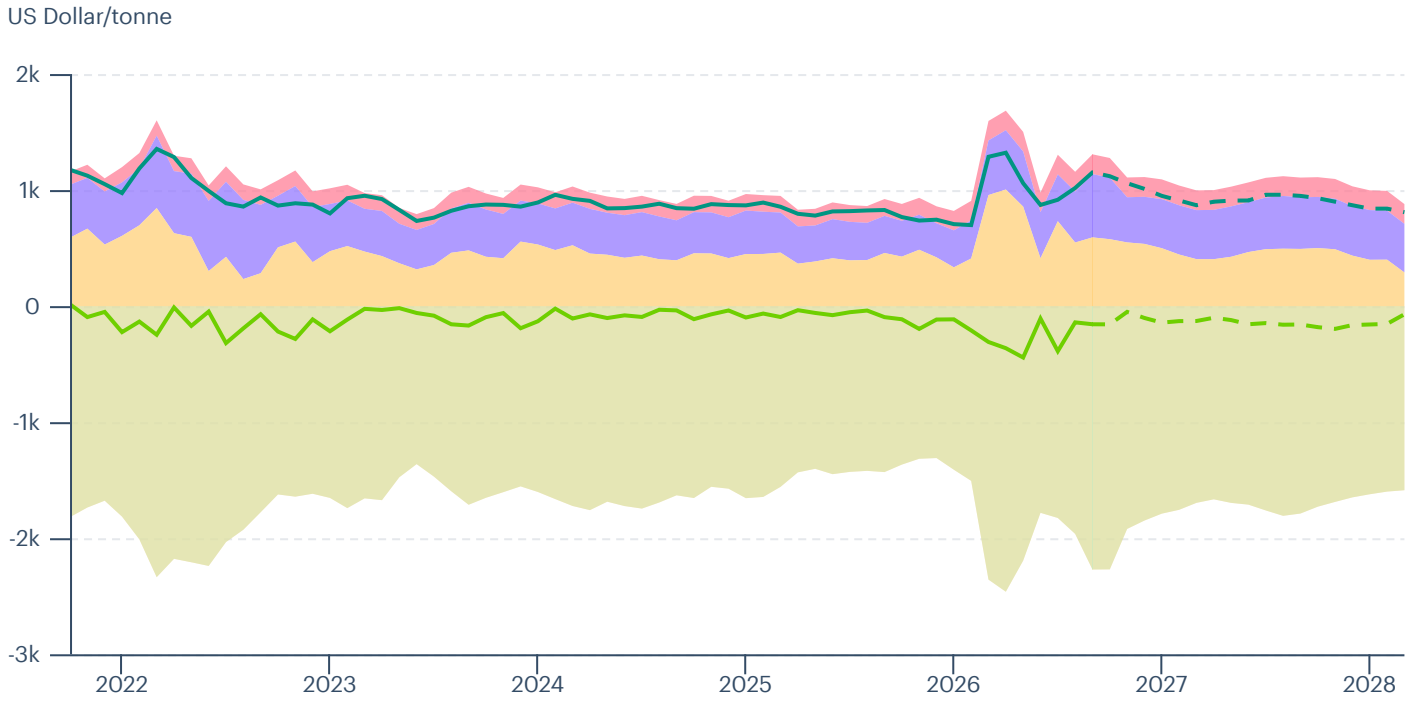
Cash margins

Note:

a.Cost calculation based on a naphtha-fed steam cracker. Raw materials = Feedstock costs (naphtha) - Co-product credits (propylene, benzene, butadiene and pygas)

b.Frequency conversion logic for historical prices converts weekly assessed prices into a monthly average by valuing all days within the calendar month, rather than averaging weekly prices. See methodology link, above, for more.

NEA - cash cost split



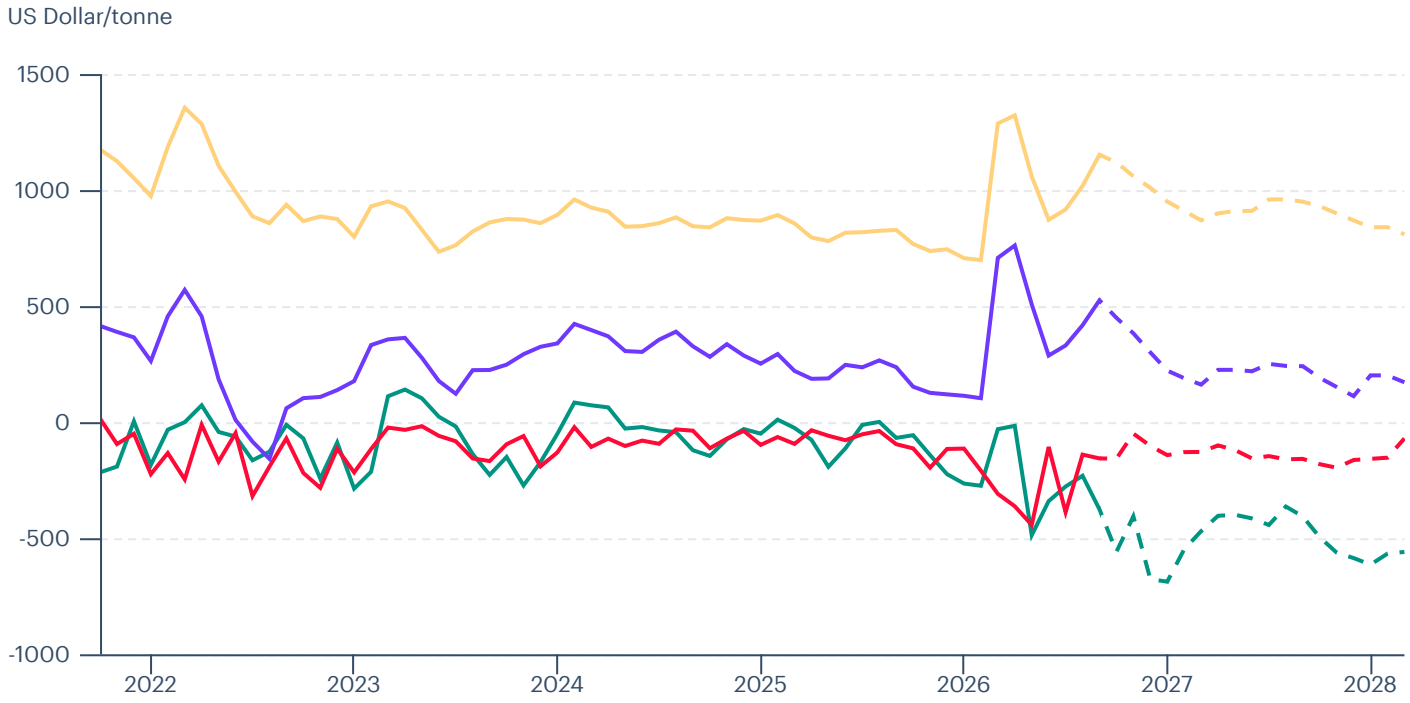
- Fixed costs
- Utility costs
- Feedstock costs
- Co-product credits
- Ethylene CFR NE Asia weekly
- Cash margins

Note:

a.Cost calculation based on a naphtha-fed steam cracker. Co-product credits include propylene, benzene, butadiene and pygas and are shown as negative values because they are deducted from costs. Contract price discount estimates are being applied.

b. Frequency conversion logic for historical prices converts weekly assessed prices into a monthly average by valuing all days within the calendar month, rather than averaging weekly prices. See methodology link, above, for more.

NEA - margin forecast



- Margins - steam cracking lpg with benzene and butadiene extraction
- Margins - steam cracking naphtha with benzene and butadiene extraction
- Margins - steam cracking ethane
- Ethylene CFR NE Asia weekly

Note:

Ethylene cracker margin based on various feedstock slates.

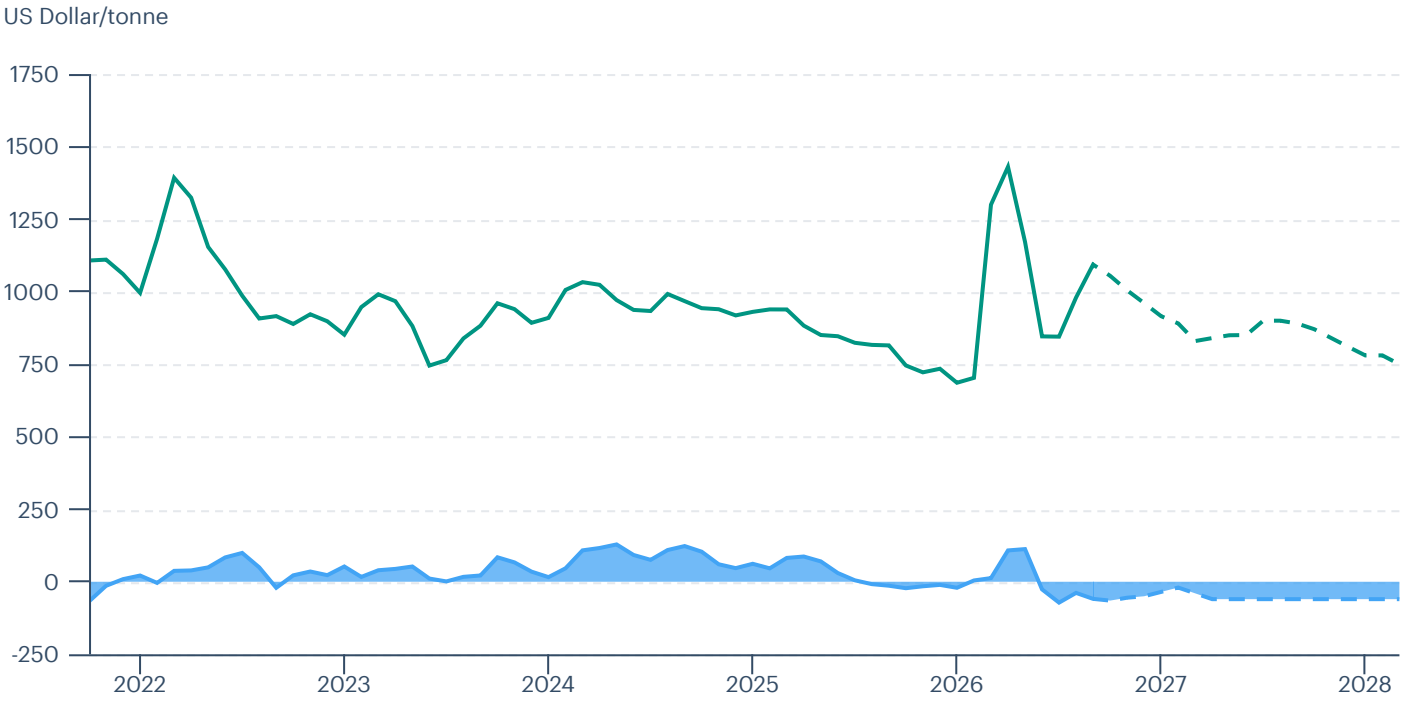
Margin is calculated on a cash-cost basis:

Cash cost = feedstock cost – co-product credit + utility costs + fixed cost

SEA - spread over NEA

OCT 2026	NOV 2026	DEC 2026	JAN 2027	FEB 2027
1,055	1,005 ▼	960 ▼	915 ▼	890 ▼
	-50 (-4.7%)	-45 (-4.5%)	-45 (-4.7%)	-25 (-2.7%)

Ethylene CFR Asia SE Spot 2-6 Weeks USD/mt Week. Deltas show intra-month changes

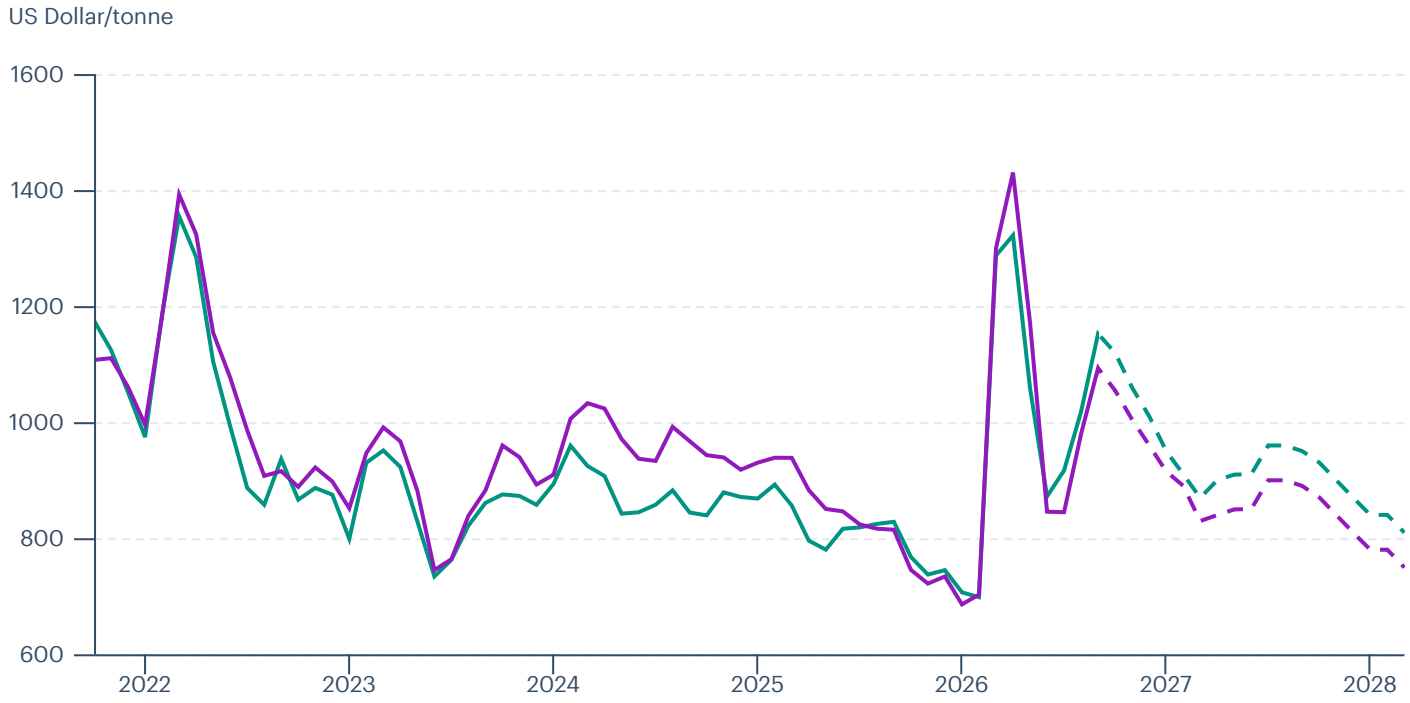


Note:

a.Chart shows the spread of the SEA ethylene price over NEA ethylene.

b.Frequency conversion logic for historical prices converts weekly assessed prices into a monthly average by valuing all days within the calendar month, rather than averaging weekly prices. See methodology link, above, for more.

Price overview



Ethylene CFR NE Asia weekly

Ethylene CFR SE Asia weekly

Forecast analysis

Outlook

Asian ethylene prices are expected to decline in October as high costs have led several ethylene-based PVC producers, including Qingdao Haiwan, Tianjin Bohai Chemical and Formosa Ningbo, to shut down plants or cut back production, reducing ethylene demand.

Prices are expected to decline further in November, assuming an initial US-Iran diplomatic framework pushes crude oil and naphtha prices lower. Improving Middle East supply and higher arbitrage inflows should add to the pressure on naphtha, although regional cracker turnarounds will constrain ethylene supply and limit the downside.

Prices are expected to soften further in December if S-Oil's new plant starts up as scheduled, adding supply and easing tightness in northeast Asia.

Downward pressure is expected to persist through Q1 2027. Supply should increase as Wanhua Yantai's No 2 cracker returns from its revamp in December, while the Lunar New Year holiday in early February is expected to weigh on derivative demand. Further capacity additions in China in March should reinforce the bearish pressure, pushing prices to their annual low.

Prices are forecast to recover from April as regional supply tightens. Q2 is typically a heavy turnaround season in Asia, and reduced availability should keep prices stable to firm in May and June. Capacity rationalization in South Korea will further constrain northeast Asian supply, providing stronger support there than in southeast Asia.

Ethylene prices are expected to rise further in July and remain firm in August, supported by higher feedstock costs. The market should weaken again from September through December as lower crude oil and naphtha prices reduce cost support, and as year-end destocking by deep-sea suppliers increases spot availability.

The northeast Asia-southeast Asia price spread is expected to widen in 2027 as South Korean cracker closures tighten northeast Asian supply, while subdued demand weighs on southeast Asian prices. YNCC's No 2 cracker is set to close permanently around Q2 2027, following Lotte Chemical's 1.1 million tonne/year Daesan cracker shutdown in September 2026 and the earlier mothballing of YNCC's No 3 cracker. Together, the closures could remove up to 1.3 million tonnes/year of South Korean ethylene export availability.

The wider spread should draw more southeast Asian cargoes into northeast Asia, providing some support to southeast Asian prices and limiting further widening.

ICIS plans to release the next two updates by:

• Forecast with highlights: 22 October 2026

• Forecast with all content updated: 9 November 2026

Price drivers

Ethylene demand growth is expected to remain limited in October and November, as maintenance and run cuts at ethylene-based PVC plants outweigh incremental demand from new downstream capacity. Blue Ocean New Materials' POE, PE and EPDM units are expected to start commercial operations in November, adding around 300,000 tonnes/year of ethylene demand, but this is unlikely to fully offset weaker demand from PVC producers, which are major spot ethylene buyers.

Regional supply is expected to remain constrained as cracker operating rates continue to soften. Asian cracker run rates are forecast to edge down to 74% in October from September, reflecting maintenance at LG Chem, KPIC, and Formosa. While the ethylene-naphtha spread is expected to narrow in October, ongoing turnarounds and Thailand's Map Ta Phut Olefins' planned shutdown from November should keep cracker rates subdued and limit any meaningful recovery in ethylene supply.

Deepening MTO losses are likely to trigger further run-rate reductions and tighten ethylene supply. Methanol import availability remains constrained by shipping disruptions through the Strait of Hormuz, pushing China's imported methanol prices up by nearly 40% from early September levels as of 10 October. As MTO economics deteriorate rapidly, operating rates are expected to fall further, potentially reaching record lows and reducing ethylene production from the MTO sector.

Further ahead, feedstock economics are expected to remain challenging. With no near-term resolution to the US-Iran conflict, high energy and raw material costs are likely to persist into 2027. Meanwhile, growing buyer resistance following prolonged cost inflation should limit further ethylene price gains and constrain any sustained recovery in steam cracker margins.

Production cost

Click here for our underlying crude oil, naphtha and LPG forecasts

Naphtha-based ethylene production costs are expected to elevate in October 2026 before easing through the remainder of the year. From November, rising Middle Eastern supply and higher arbitrage inflows as western blending demand subsides should improve naphtha availability. Naphtha is forecast to fall, implying a clear improvement in cracker economics despite lower ethylene prices. Then the ethylene-naphtha spread is expected to narrow in December as new ethylene capacity adds supply pressure.

In Q1 2027, declining crude oil and naphtha prices should progressively lower the cash cost of ethylene by the naphtha cracking route, but ethylene margins will remain driven by regional supply and demand. The ethylene-naphtha spread is forecast to contract as new capacity and weak demand weigh more heavily on ethylene than on feedstock.

Economics should improve from April, when turnarounds and South Korean capacity reductions tighten northeast Asian ethylene supply.

Economic outlook

China's exports were up roughly 25% in August year on year and serve as the primary growth engine. This has aided industrial production resilience. This is especially true in high-tech industries, but activity remains mixed in other industries. Domestic demand reflects deep consumer caution, soft light-vehicle and other retail sales, fixed-asset investment, and property prices. Sluggish domestic demand has kept consumer and producer prices low, straining corporate profit margins. We still expect China's GDP growth to slow to 4.5% this year, further decelerating in 2027 and 2028. The AI build-out strongly supports the export of semiconductors and other high-tech equipment from Japan.

We expect economic growth in Japan to slow to a 0.7% gain this year, followed by similar growth in 2027 and 2028. Economic growth in South Korea and Taiwan will be very strong. Elsewhere in the region, India's growth remains resilient and economic growth in other parts of Asia has also held up.

*By **Kevin Swift**, senior economist, ICIS*

Prices

AS OF 14 OCT 2026

Spot prices - daily

Name	Unit	Low change	Low price	High price	High change	Mid price	Mid change	Frequency	Published
Ethylene CFR Asia NE Spot	USD/mt	0 (0%)	1,070	1,190	0 (0%)	1,130	0 (0%)	Daily	14 Oct 2026
Ethylene CFR Asia SE Spot	USD/mt	0 (0%)	1,025	1,075	0 (0%)	1,050	0 (0%)	Daily	14 Oct 2026
Ethylene Ex-Tank China E Spot	CNY/mt	0 (0%)	9,000	9,200	0 (0%)	9,100	0 (0%)	Daily	14 Oct 2026

Spot prices - weekly

Name	Unit	Low change	Low price	High price	High change	Mid price	Mid change	Frequency	Published
Ethylene FOB South Korea Spot	USD/mt	-10 (-0.91%)	1,090 ▼	1,140 ▼	-10 (-0.87%)	1,115 ▼	-10 (-0.89%)	Weekly	09 Oct 2026
Ethylene CFR Asia NE Spot	USD/mt	-30 (-2.73%)	1,070 ▼	1,160	0 (0%)	1,115 ▼	-15 (-1.33%)	Weekly	09 Oct 2026
Ethylene CFR Asia SE Spot	USD/mt	-15 (-1.44%)	1,025 ▼	1,075 ▼	-25 (-2.27%)	1,050 ▼	-20 (-1.87%)	Weekly	09 Oct 2026
Ethylene FOB Asia SE Spot	USD/mt	-30 (-2.86%)	1,020 ▼	1,100	0 (0%)	1,060 ▼	-15 (-1.4%)	Weekly	09 Oct 2026
Ethylene Ex-Tank China E Spot	CNY/mt	-400 (-4.26%)	9,000 ▼	9,400 ▼	-100 (-1.05%)	9,200 ▼	-250 (-2.65%)	Weekly	09 Oct 2026

Pricing commentary

Daily

Northeast Asia prices were stable in the absence of firm discussions amid ongoing spot talks for regional, southeast Asia and deep-sea origin cargoes for November to first-half December arrivals.

Selling indications for November-arrival regional cargoes were at the high $1,100s/tonne CFR NE Asia, up to the assessed high end. Buying levels for regional cargoes were observed up to $1,150/tonne CFR NE Asia. The high end was stable, taking into consideration limited regional cargo availability for November arrivals.

Selling indications for first-half November arrival southeast Asia cargo were around $1,140-1,150/tonne CFR NE Asia, with buying levels at around $1,100/tonne to the low $1,100s/tonne CFR NE Asia.

Selling indications for first-half December arrival deep-sea cargo continued to be observed around high $1,000s/tonne CFR NE Asia, with buying levels around mid-to-high $1,000s/tonne CFR NE Asia. The low end was stable amid unchanged discussion levels for these cargoes.

Southeast Asia prices were stable as players awaited demand direction for November shipments, with sporadic selling indications remaining at the mid-to-high $1,000s/tonne CFR SE Asia.

Weekly

Northeast Asia

CFR NE Asia prices fell, tracking greater sell pressure on traders with deep-sea cargo on hand for early to first half December arrivals amid slightly weakening transcontinental freight rates.

More offers appeared towards the close of the week; the low end was assessed on the average of offers and selling indications at the close of the week at $1,060-1,080/tonne CFR NE Asia.

Sellers also put out sporadic offers and selling indications for regional cargo at around $1,140-1,180/tonne CFR NE Asia for November arrival, with most selling interest directed towards Chinese end users.

Players cited the limited availability of regional cargoes, as well as the late-week rebounding crude/naphtha prices as the reason for the more conservative selling positions taken with regards to regional cargoes. The high end was assessed on the average of this selling interest at $1,140-1,180/tonne CFR NE Asia.

Given challenging margins for most derivatives, end users balked at selling levels put out by traders. Those in active discussions for deep-sea cargo put out buying levels at low $1,000s/tonne to $1,050/tonne CFR NE Asia, while those focussing on regional cargo indicated buying levels at $1,100/tonne to low $1,100s/tonne CFR NE Asia.

A Taiwanese importer opened a purchase tender on 9 October for November arrival ethylene to Mailiao. The tender is closing on 12 October.

Domestic China ex-tank prices remained under pressure during the week, with spot prices posting notable declines as buying interest weakened further right after the holiday period.

Downstream consumers largely stayed on the sidelines, maintaining a cautious stance and limiting procurement activity amid expectations of softer demand.

At the same time, persistently high methanol prices continued to squeeze margins for MTO producers, increasing cost pressure across the olefins value chain and constraining operating flexibility.

On the supply side, additional ethylene production units announced shutdowns or rate reductions, reinforcing expectations of tighter market availability in the coming weeks.

Looking ahead, market participants increasingly anticipate a further decline in domestic supply, although struggling downstream margins for most derivatives is likely to cap buying appetite.

FOB South Korea prices were lower amid a greater willingness of sellers to come out to the market for November loadings.

Formula basis deals were concluded at single-digit discount levels to CFR NE Asia November average, with formula alpha discussion levels edging lower than in previous weeks for October loadings.

Elsewhere in northeast Asia, a cargo of regional origin was heard concluded on formula basis discount level to CFR NE Asia November average for November loading.

Trade recap

NEA	Price ($/tonne)	INCO terms	No. of cargoes (tonnes)	Date range
Offers/selling indications	1,060-low 1,100s	CFR NE Asia	-	early December arrival
Offers/selling indications	1,140-1,180 or around +30 to +50 CFR NE Asia November average	CFR NE Asia	-	November arrival
Bids/buy indications	low 1,000s-1,050	CFR NE Asia	-	early December arrival
Bids/buy indications	1,100-low 1,100s or around +single digit to +10s CFR NE Asia November average	CFR NE Asia	-	November arrival
Deal	around -single digit CFR NE Asia November average	FOB south Korea	1 lot of 3,000-3,500	November loading
Offers/selling indications	around low 1,100s-1,150 or around -single digit to flat CFR NE Asia November average	FOB south Korea	-	November loading
Bids/buy indications	high 1,000s-1,100 or around -10 to -20 CFR NE Asia November average	FOB south Korea	-	November loading
Deal	around -10 to -10s CFR NE Asia November average	FOB NE Asia	1 lot of 3,000-3,500	November loading

Southeast Asia

CFR SE Asia prices ran softer amid recovering supply availability in this region.

Players also noted the potential sales opportunity for arbitrage cargoes of south Asia origin to enter into this region given the demand outlets within south Asia were more limited than in southeast Asia.

Sellers with more cargoes on hand took slightly more aggressive positions, with the high end assessed on the average of selling indications at $1,050-1,100/tonne CFR SE Asia for end October-November arrivals.

Spot demand remains dull for October and November, tracking struggling margins across the derivative vinyls value chain (polyvinyl chloride) and PVC co-product caustic soda.

The low end was assessed on sporadic workable buying indications provided at $1,000/tonne to low $1,000s/tonne CFR SE Asia taking this into consideration, with no bids put out to the market.

FOB SE Asia prices tracked the changes in CFR NE Asia prices amid an opening arbitrage window from southeast Asia to northeast Asia.

Loadings for Singapore and Malaysia origin cargo were mulled for late October loadings, though players noted that the dull intra-regional demand and emerging supply from south Asia for October loadings meant northeast Asia would be the likely remaining recipient of southeast Asia cargoes.

Further losses were offset by strong cost pressure from rebounding crude and naphtha, with sellers unwilling to conclude deals at levels that would squeeze ethylene-naphtha spreads further.

Trade recap

SEA	Price ($/tonne)	INCO terms	No. of cargoes (tonnes)	Date range
Offers/selling indications	1,050-low 1,100s	CFR SE Asia	-	H2 October-November arrival
Bids/buy indications	1,000-low 1,000s	CFR SE Asia	-	H2 October-November arrival
Offers/selling indications	around 1,100 or around -50 CFR SE Asia October average	FOB SE Asia	-	H2 October loading
Bids/buy indications	1,000-low 1,000s or around -60 to -80 CFR SE Asia October/November average	FOB SE Asia	-	H2 October-November loading

Taiwan contract prices

Settlements between a key producer and its local customers in 2026, according to sources:

Month (2026)	Contract price ($/tonne)
September	1,160-1,165 (provisional)*
August	1,040-1,045 (provisional)
July	980-985 (settled)*
June	970-975
May	1,240-1,245
April	1,360-1,365
March	1,185-1,190
February	790-795

January	755-760

*latest data

Spot freight rates

Freight rates ($/tonne)	Route	Cargo size (tonnes)
70-80	Intra-SE Asia	3,500-5,000
80-90	Intra-NE Asia	3,000-4,500
Around 150-170	NE Asia to SE Asia	3,000-6,500
100-120	SE Asia to NE Asia	5,000-6,500
around 180-low 200s	SE Asia to South Asia/Middle East	3,500-5,000

Shipping recap

Vessel	Quantity (tonnes)	Load port	Destination	Loading laycan
Gaschem Dolphin	20,000	Houston (Enterprise), US	Asia options	H2 September
Navigator Hyperion	9,000-10,000	Houston (Enterprise), US	China	H2 August

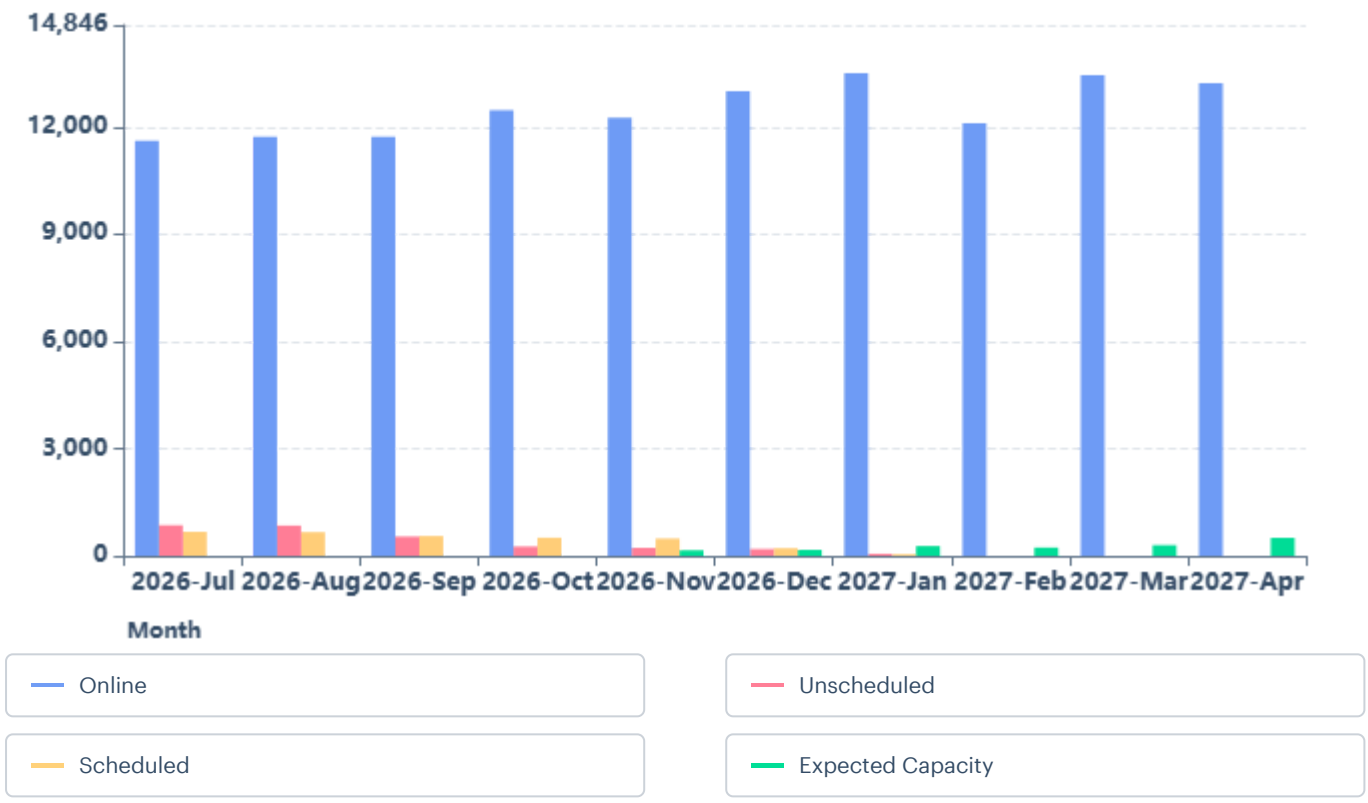
Supply and demand

AS OF 14 OCT 2026

Highlights

- South Korea is expected to tighten further with KPIC and LG (Yeosu No. 1) turnarounds later in October, though this will be offset to an extent by the restart of LG's Yeosu No. 3 cracker next week.
- Major Chinese supplier Wanhua has shut its No.2 cracker at Yantai for turnaround, though any anticipation of an increase in import demand will likely be tempered with a roll off in downstream operations - a number of derivatives have cut operations since September amid struggling margins facing high cost pressure.

Capacity and shutdowns



Unit: '000 tonnes

Shutdowns

Location	Company	Site	Start	End	Plant No.	Cause	Capacity loss	Total annual capacity (kt)	Last updated
Malaysia	Lotte Chemical Titan	Pasir Gudang	15 Dec 2024 (Official)	16 Dec 2026 (Assumptions)	1	Scheduled	100% (est. 571.6 kt)	285	20 Jan 2026
Singapore	PCS PTE	Ayer Merbau	12 Mar 2026 (Market information)	29 Dec 2026 (Assumptions)	1	Unscheduled (Force Majeure)	100% (est. 373.3 kt)	465	17 Aug 2026
South Korea	LG Chem	Yeosu	23 Mar 2026 (Official)	12 Oct 2026 (Official)	3	Scheduled	100% (est. 503.0 kt)	900	09 Oct 2026
Iran	JAM Petrochemical	Asaluyeh (Pars Se/Ezone)	07 Apr 2026 (Market information)	16 Jan 2027 (Assumptions)	1	Unscheduled	100% (est. 1030.7 kt)	1320	10 Apr 2026
Vietnam	Long Son Petrochemical	Long Son	15 May 2026 (Official)	16 Dec 2026 (Assumptions)	1	Unscheduled	100% (est. 562.2 kt)	950	23 Apr 2026
China	Sinopec Hainan PC	Yangpu	07 Jun 2026 (Market information)	23 Oct 2026 (Market information)	2	Scheduled	100% (est. 380.8 kt)	1000	28 Sep 2026
China	Tianjin Bohai Chem. Group	Tianjin	20 Aug 2026 (Market information)	31 Oct 2026 (Assumptions)	2	Scheduled	100% (est. 60.0 kt)	300	20 Aug 2026
China	CNOOC and Shell PC	Huizhou	01 Sep 2026 (Market information)	20 Oct 2026 (Assumptions)	1	Scheduled	100% (est. 137.0 kt)	1000	30 Sep 2026
China	Sinopec Anqing PC Co	Anqing	05 Sep 2026 (Market information)	31 Oct 2026 (Market information)	2	Scheduled	100% (est. 17.2 kt)	110	23 Sep 2026
Japan	Idemitsu Kosan	Tokuyama	09 Sep 2026 (Market information)	12 Nov 2026 (Market information)	1	Scheduled	100% (est. 122.5 kt)	688	30 Sep 2026
China	Shandong Yangmei Hengtong CC	Linyi	18 Sep 2026 (Market information)	25 Oct 2026 (Assumptions)	1	Unscheduled	100% (est. 12.5 kt)	120	21 Sep 2026
China	Fund Energy (Ningbo)	Ningbo	19 Sep 2026 (Market information)	25 Oct 2026 (Assumptions)	1	Unscheduled	100% (est. 30.4 kt)	300	21 Sep 2026
China	Sinopec Yangzi PC	Nanjing	28 Sep 2026 (Market information)	31 Oct 2026 (Assumptions)	1	Scheduled	50% (est. 39.1 kt)	840	30 Sep 2026
China	Levima Gerun (Shandong) New Material	Tengzhou	09 Oct 2026 (Market information)	30 Oct 2026 (Assumptions)	1	Scheduled	100% (est. 13.3 kt)	220	13 Oct 2026
China	Wanhua Petrochemical (Yantai)	Yantai	10 Oct 2026 (Official)	08 Dec 2026 (Official)	3	Scheduled	100% (est. 197.3 kt)	1200	09 Oct 2026
Taiwan	Formosa Petrochemical	Mai Liao	14 Oct 2026 (Market information)	16 Jan 2027 (Market information)	2	Scheduled	100% (est. 269.4 kt)	1035	05 Oct 2026

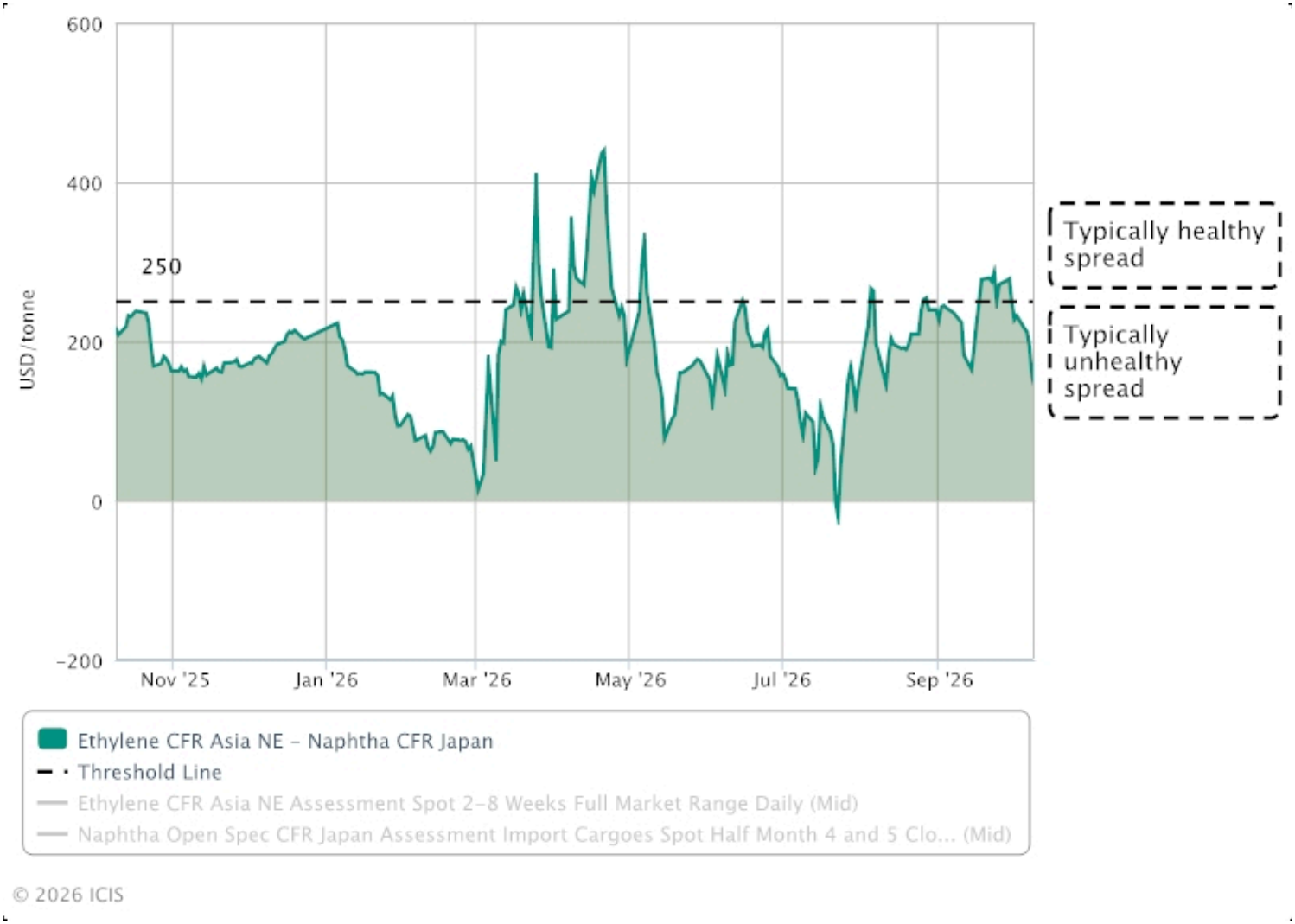
Location	Company	Site	Start	End	Plant No.	Cause	Capacity loss	Total annual capacity (kt)	Last updated
South Korea	Korea Petrochemical Ind.	Onsan	15 Oct 2026 (Market information)	28 Nov 2026 (Market information)	1	Scheduled	100% (est. 111.0 kt)	900	31 Aug 2026
South Korea	LG Chem	Yeosu	23 Oct 2026 (Market information)	24 Dec 2026 (Market information)	1	Scheduled	100% (est. 203.7 kt)	1180	16 Sep 2026
Thailand	Map Ta Phut Olefins	Map Ta Phut	04 Nov 2026 (Market information)	03 Dec 2026 (Market information)	1	Scheduled	100% (est. 98.6 kt)	1200	14 Aug 2026

Capacity changes

Location	Company	Site	Plant No.	Type	Estimated start	New annual capacity (kt)	Capacity change (kt)	% Change	Last updated
China	Petrochina Fushun PC	Fushun	3	Expansion	Oct 2026	950 ▲	100	11.76%	26 Jan 2025
China	Sabic Gulei Petrochemicals	Gulei	1	New Plant	Oct 2026	1800 ▲	1800	100.00%	27 Apr 2026
India	Hpcl Rajasthan Refinery	Pachpadra (Barmer)	2	New Plant	Nov 2026	77 ▲	77	100.00%	25 May 2026
China	China Coal Shaanxi Yulin Energy&chemical	Yulin	2	New Plant	Dec 2026	350 ▲	350	100.00%	06 Jan 2026
China	Inner Mongolia Rongxin Chemical	Ordos City	1	New Plant	Dec 2026	400 ▲	400	100.00%	29 Jun 2026
China	Guangxi Huayi Energy Chemical	Qinzhou	1	New Plant	Dec 2026	500 ▲	500	100.00%	08 Oct 2026
Taiwan	Formosa Petrochemical	Mai Liao	3	Reduction	Jan 2027	1000 ▼	-200	-16.67%	18 Sep 2026
China	Ningxia Baofeng Energy	Ningdong	5	New Plant	Feb 2027	500 ▲	500	100.00%	13 Nov 2025
India	Hpcl Rajasthan Refinery	Pachpadra (Barmer)	1	New Plant	Mar 2027	820 ▲	820	100.00%	25 May 2026
South Korea	S-oil Corp.	Onsan	4	New Plant	Mar 2027	1800 ▲	1800	100.00%	14 Oct 2026
China	Shenhua Baotou Coal Chem. Industry	Baotou	2	New Plant	May 2027	350 ▲	350	100.00%	10 Oct 2026
United Arab Emirates	Borouge International	Ruwais	4	New Plant	May 2027	1500 ▲	1500	100.00%	19 May 2026
Qatar	RAS Laffan Petrochemicals	RAS Laffan	1	New Plant	Jul 2027	2080 ▲	2080	100.00%	24 Mar 2025
China	Huajin Aramco Petrochemical	Panjin	2	New Plant	Jul 2027	1650 ▲	1650	100.00%	14 Oct 2026
Russian Federation	Amur GCC	Svobodny	1	New Plant	Jul 2027	2300 ▲	2300	100.00%	01 Sep 2026

Value chain commentary

Upstream



Indicative daily spreads this week stood around $195/tonne on average, a drop from the previous week.

Feedstock spread - naphtha and ethylene NE Asia

Downstream

Domestic east China spot prices

Product	Week-on-week price change
Styrene monomer (SM)	Down
Monoethylene glycol (MEG)	Down
Polyethylene (PE)	Mostly down
Ethylene oxide (EO)	Stable

Cash margin-standalone MEG plants in China

Cash margin-standalone SM plants in China

Cash margin-standalone EO plants in China

Downstream spread - ethylene and HDPE NE Asia

Downstream spread - ethylene and LLDPE SE Asia

Production changes (notable derivative units)

Derivative	Company	Location	Capacity (tonnes/year)	Schedule
PVC	Tianjin Bohua	Tianjin, China	1.37 million (across six lines)	Two lines shut as of September
	Formosa Plastics	Ningbo, China	470,000	Run rates cut to 65% since August
	Guangxi Huayi	Qinzhou, China	400,000	Operations halved since May; turnaround in November for a month
	Tosoh Chemical Industries	Guangzhou, China	220,000	Force majeure declared, operations reduced
	CGPC	Linyuan, Taiwan	220,000	Operations lowered since March on feedstock procurement issues
	Ocean Plastics	Taoyuan, Taiwan	120,000	Operations lowered since March on feedstock procurement issues
	Sulfindo Adiusaha	Bojonegara, Indonesia	110,000	Force majeure declared, operations reduced
	Asahimas	Cilegon, Indonesia	450,000	Decoking maintenance in October for around 3 weeks
SM	GPPC	Kaohsiung, Taiwan	130,000	Line shut around late April-early May, restarted in May; line shut again for turnaround end-August to mid-October
	TSMC*	Linyuan, Taiwan	340,000 (across 2 lines)	Mothballed as of 1 October
EO	Jiangsu Jurong Chem*	Taixing, China	263,000	Unplanned shutdown in week of 11 May, restart by October
EVA	Formosa Plastics	Ningbo, China	100,000	Unit to shut end-October, duration unknown

*latest data

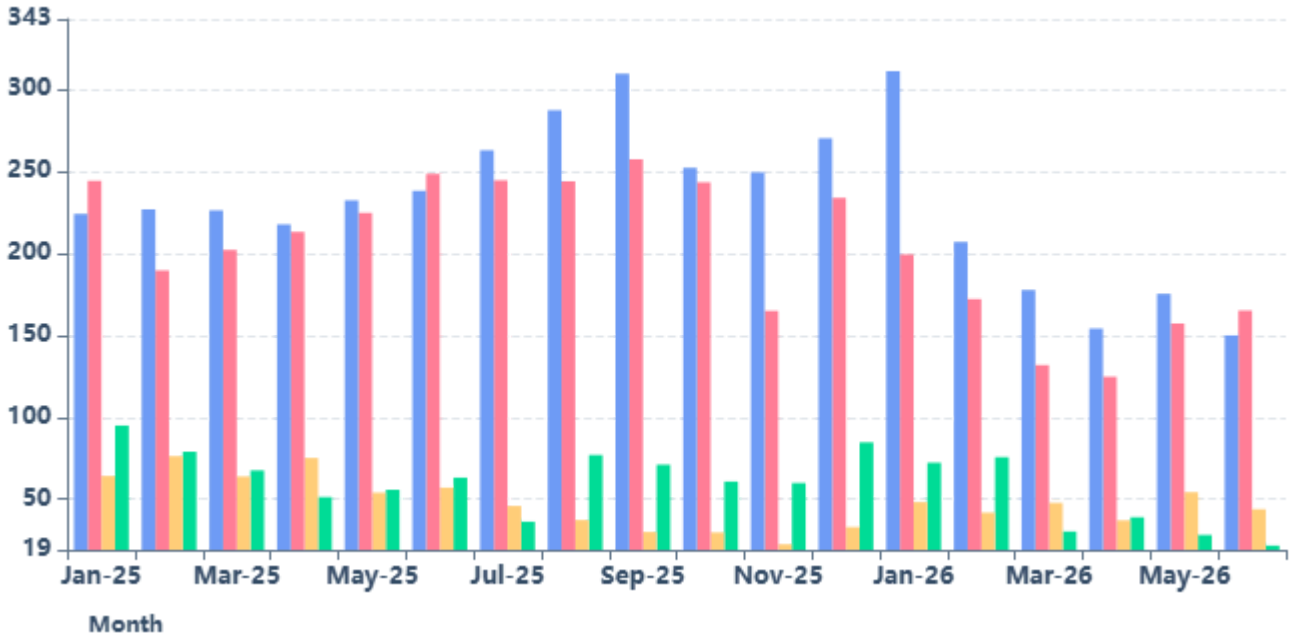
Feedstock spot prices

Name	Unit	Period	Low price	Low change	High price	High change	Frequency	Date
Naphtha CFR Japan half month +3 close	USD/tonne	2H NOV	990	77	992	77	weekly	09 Oct 2026

Trade balance

AS OF 2 OCT 2026

Asia Ethylene Trade



Unit: kt

Northeast Asia Imports

Northeast Asia Exports

Southeast Asia Imports

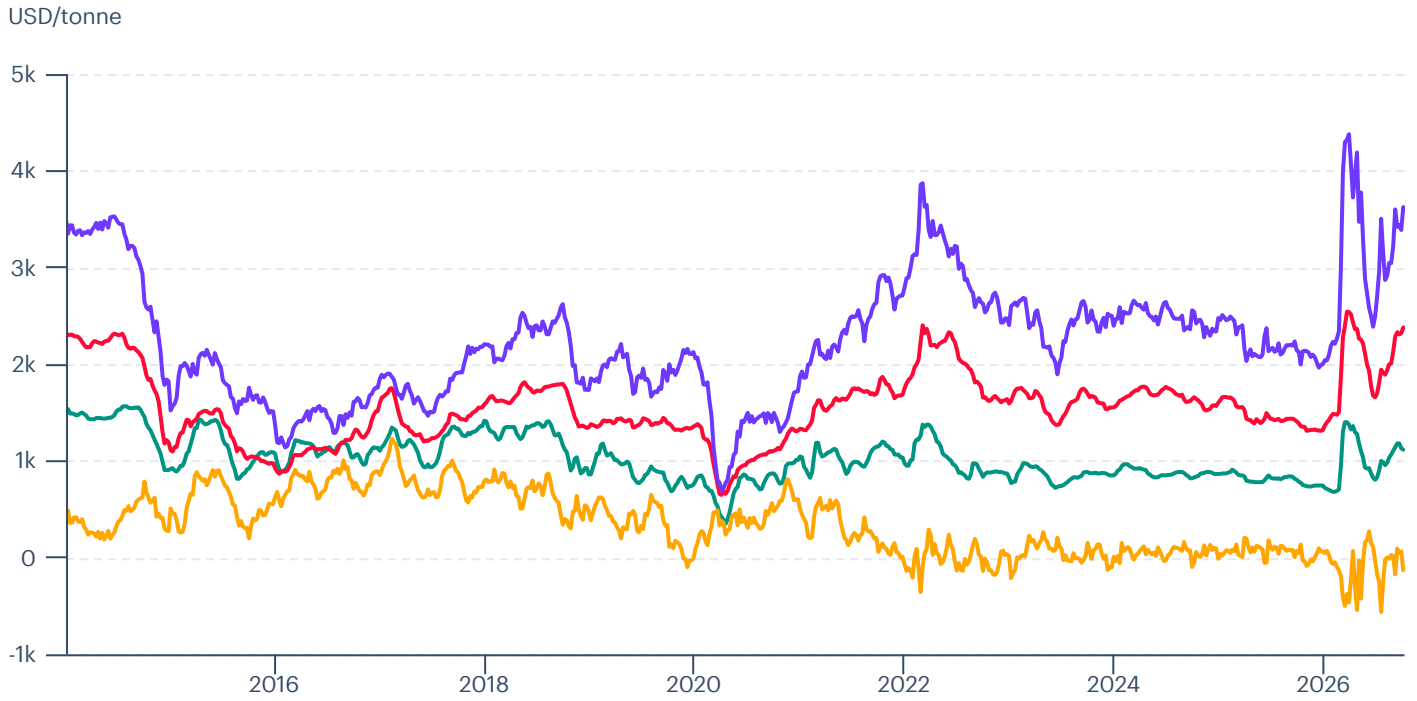
Southeast Asia Exports

Note: 1. Northeast Asia - China, South Korea, Japan and Taiwan market; Southeast Asia - Indonesia, Malaysia, the Philippines, Singapore and Thailand.

2. Philippine exports use partner-country mirror data as a proxy.

Margins

AS OF 9 OCT 2026



- Main product value
- Co-product credits
- Total input costs
- Variable margin
- Variable costs, main product

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